1.3 Over-optimism:

Over-optimism can be categorized as a psychological risk. Let us assume that your friend tells you that 'Cello' is a promising company. So now, even you consider Cello as a good company.

- So, in this situation, we are very confident that the company's share price will increase due to optimism we see around.
- We gave it a very biased and bullish assumption, we did not conduct our research. This is a classis example of over-optimism.

We believed that this firm was worth 1500 dollars instead of 1000 dollars because we love the product and a handful of our friends have suggested it.

2.1 Quality of earnings deteriorates:

The real value of a company can also go below its market value.

For example : We have invested in a company, whose performance has been satisfactory along with its quality of earnings. However, due to a new competitor, the quality of earnings have decreased with time.

Since the quality of earnings start degrading, the real value of the company also plummets, which ultimately leads to fall in stock prices.